Research notes: Jiu Jitsu and Monopsony

This is a source and uncertainty log for `blog.md`. Figure inputs are in `../assets/` `../src/make_figures.py` regenerates the five images in `../figures/`.

The 2024 pay dispute

- Craig Jones's Reddit comment says athletes deserved more than the drummers. It is evidence of his complaint, not payroll evidence. No reliable figures for the drummers' actual fee were found.
- In his August 2024 Lex Fridman interview, Jones describes ADCC's male division-winner prize as $10,000, CJI's appearance minimum as $10,001, and CJI's division-winner prize as $1 million. He says ADCC raised the women's division-winner prize to match the men's after CJI signed Ffion Davies and began paying appearance money to some athletes. These are firsthand claims from an interested participant, not audited ADCC accounts.
- A voice memo that Jones posted is transcribed here as an ADCC organizer discussing a proposed $2,500 appearance floor. The direct Instagram page was not inspectable in the research environment. This number must remain labeled *proposed* and *attributed*; we have not verified actual payments. Figure 1 uses a hatched bar to make that distinction visible.
- CJI 2024 dates were 16–17 August. ADCC's schedule was 17–18 August. The events therefore overlapped. The Jones interview names athletes in both fields, but no quantitative estimate of lost matchups or fan welfare exists here.

Athlete compensation shares

- The 2023 US district court class-certification order, PDF pages 68–69, reports UFC compensation to the *Bout Class* of about **19.5% of event revenue** over the 2010–17 class period. The order also reports about **44.7% of revenue** paid to fighters by Bellator in 2010–15 and **63%** by Strikeforce in 2009–10. These were benchmarks proposed in antitrust litigation and accepted for the class-certification stage, not a final judgment of liability. The organizations and periods are not perfectly comparable, and the competitors' denominators are called revenue rather than precisely the same UFC event-revenue measure.
- The same order also reports an internal presentation with UFC fighter costs of **16–19% of company revenue** in 2012–15 (PDF page 54). The figure uses the 19.5% event-revenue ratio instead because it appears in the same benchmark discussion as Bellator and Strikeforce. Do not quietly substitute one UFC ratio for the other.
- UEFA's 2022 Club Licensing Benchmarking Report, Chapter 7, reports **55% player wages / revenue** for the 20 English Premier League clubs in FY2021. This excludes non-player wages. FY2021 was pandemic-affected, and club revenue is not defined like UFC event revenue. Use the ratio to pose a question about bargaining institutions, not to estimate a causal effect of leagues or to infer profits. A 2024/25 Premier League *total staff* wage share would be the wrong comparison to fighter compensation.
- TKO's full-year 2025 results report UFC segment revenue of about $\mathbf{1.502 billion}$ ** and adjusted EBITDA of about ** **851 million**, yielding the stated **57% adjusted EBITDA margin**. Adjusted EBITDA is a non-GAAP measure that excludes depreci-

ation, interest, several legal and acquisition costs, and other items. It is a segment result and does not allocate all TKO corporate costs to UFC. It is not net profit.

- Deloitte's 2026 Annual Review of Football Finance, pages 24–25, reports **£263 million** aggregate operating profit for Premier League clubs in 2024/25. It reports about **£6.8 billion** in aggregate revenue, so the approximate operating margin is **263 / 6,800 = 3.9%**. Deloitte defines the operating result as revenue minus wages and other operating costs, excluding player trading and certain exceptional items. The same report shows **£948 million aggregate pre-tax losses**, underscoring that operating margin is not net profit.
- The UFC and Premier League margin measures have different definitions, and the margin observations are from later years than the pay-share observations. No comparably defined profit series for Bellator and Strikeforce was found. Figure 2 therefore places the margins in a separate panel and does not imply that the pay share and margin exhaust revenue.

Organization size and compensation

- Deloitte's 2026 Annual Review, Appendix Table 1 on PDF page 48, gives 2024/25 revenue and **total staff** wage costs for all 20 Premier League clubs. The table is transcribed to `../assets/premier_league_2024_25_clubs.csv` amounts are in thousands of pounds. The transcription sums to £6,807.3 million revenue and £4,423.0 million wages, consistent with Deloitte's rounded £6.8 billion and £4.4 billion totals. Wolverhampton Wanderers has a 13-month reporting period; the source notes this. Individual player-only wages are not reported in the club accounts, so total staff cost is the closest consistent public proxy and should never be labeled player pay.
- Figure 3 puts each club's revenue divided by the 20-club revenue sum on a **logarithmic horizontal axis** and its staff cost divided by its own revenue on the vertical axis. A one-season ordinary least-squares fit of staff wage share on the base-10 logarithm of club revenue share has $\boldsymbol{R^2 = 0.45}$; a doubling of club revenue share corresponds to about **11.2 percentage points lower** staff wage share in this descriptive fit. Revenue appears in the denominator of the vertical ratio and in the horizontal variable, so the relationship can arise mechanically or from differences in commercial revenue. Club quality, competition results, staff mix, and promotion/relegation are uncontrolled. It cannot identify wage-setting power or predict the effect of a BJJ league.
- The 2023 UFC class-certification order, PDF pages 25–29, defines the relevant output market as **US (alternatively North American) live elite MMA promotion**. It summarizes an expert estimate of UFC output-revenue market share reaching about **90%** since at least 2008. It says the three largest rivals in that market—Strikeforce, Bellator, and World Series of Fighting—*together* never exceeded **9%** of total promoter revenue from 2009 onward. The individual Bellator and Strikeforce size figures were not published there. Figure 3 now plots only the UFC from this source; the other promotions remain in `../assets/mma_promoter_size_bounds.csv` as research data. UFC's 90% is a reported high, not a matched annual value for the fighter-pay sample.
- The order explicitly excludes pan-Asian ONE Championship from this US geographic market (PDF page 26). ONE also promotes Muay Thai, kickboxing and submission

grappling, so its entire-company revenue is not an MMA-only numerator. PFL launched its season format in 2018, after the UFC 2010–17 pay sample, and acquired Bellator in 2023. PFL's announced 50% PPV-revenue split applies only to its PPV Super Fight division, not promoter-wide revenue. Neither ONE nor PFL has a comparable company-wide fighter-pay share in the inspected primary sources. World Series of Fighting lacks a comparable pay ratio too. Do not append a fabricated point for any of them or present the chart as a current global market census.

- The same court order (PDF pages 8–9) records that UFC matchmakers negotiated most fighter contracts *and* chose bouts and their timing during the class period. Its summary of contract terms includes exclusivity and rights to match rivals' offers. This directly motivates the institutional mechanism in the post, but it does not prove that joint control by itself caused the observed pay share.
- The same order (PDF pages 49–51) describes Hal Singer's regression of UFC fighter event-revenue shares on foreclosure of the fighter-services market, using fighter fixed effects and other controls. It reports a negative, statistically significant coefficient. This is closer to a test of the monopsony mechanism than a pooled fit through club and promotion averages, though it was evaluated at class certification and is contested litigation evidence.
- A pooled football–MMA regression would mix staff wages with fighter pay, event and company revenue, different periods, and very different market boundaries. Figure 3 shows the UFC as a different-colored reference point but fits only the within-football club sample; the club line is not extrapolated to UFC. The omitted MMA competitors have bounded or unmatched horizontal positions, so there is no defensible MMA trend line.

Labour economics

- Alan Manning, *Monopsony in Motion* (2003) frames employer wage-setting power through the observation that a tiny wage cut does not instantly make all workers leave. David Card, *Who Set Your Wage?* (2022) calls Manning's book a landmark in the renewed research and describes a growing consensus that firms have some wage-setting power while its sources are still debated. The earlier Card–Krueger minimum-wage paper was intentionally omitted from the post because it is a less direct route into this argument.
- Azar, Marinescu, and Steinbaum, *Labor Market Concentration* use US CareerBuilder vacancies for selected occupations. Their abstract and results report a 5% ordinary least-squares and 17% instrumental-variables decline in *posted* wages for a move from the 25th to the 75th percentile of concentration. About 20% of the vacancies in their sample include salary information; the authors note possible instrument endogeneity. These numbers do not estimate BJJ pay effects.

Structure and feasibility

- ADCC's own historical account says its founder became interested in MMA after watching the first UFC, then studied Brazilian jiu jitsu and founded ADCC's submission-grappling tournament in 1998. It also describes its grappling rules as competition without strikes. This documents UFC inspiration for **ADCC's founder**, not a sport-wide causal claim that all jiu jitsu copied the UFC. The argument that martial-art identity made promoter-

run events seem natural is the author's interpretation; distinguish it from the documented origin of this one tournament.

- ADCC's 2024 brackets demonstrate that athletes can have multiple grappling matches during an event weekend. They do **not** establish that weekly competition is safe. The eventual schedule would need sport-specific injury and recovery evidence.
- CJI's 2025 site describes a $1 million team tournament. A team event already exists; the proposed distinction is a recurring league with clubs that hire athletes independently rather than a single organizer's tournament.

What the sources do not establish

There is no reliable BJJ-wide compensation, employer concentration, revenue, or profit dataset in this research. There is also no tested estimate of how a club league would affect athlete wages, talent allocation, fan interest, or athlete health. The institutional proposal is an economic argument grounded in the observed 2024 dispute, not a measured policy effect.